

EMBARGOED MEDIA RELEASE

Measures to Decouple UK Electricity from Soaring Gas Prices Before Winter Could Save Households and Businesses Billions this Winter and Cut Electricity Price Rises by up to 33%

Extraordinarily high international gas prices have distorted the UK's electricity market. Also inflating the wholesale (and so also retail) price of electricity from other sources. This is because under the current pricing mechanism gas sets the price of most of the electricity in the wholesale market.

Our analysis shows that measures to stop gas setting the wholesale price can:

- **Cut electricity price rises by up to 33% (from 52p to 35p per unit) through the winter. Also reducing the April 2023 rise by up to 40%. Other scenarios see lower but significant reductions.**
- **Make a significant dent in the overall Energy Cap, from October 1st by an estimated £660 by October, and potentially £1,200 by April per household.**
- **Achieve more than double the savings that can be delivered by removing the green levy, and quadruple the savings from removing VAT** (proposed by Conservative Leadership candidates Liz Truss and Rishi Sunak) and **can be implemented in addition to those measure,**

We propose that these cost-neutral additional interim measures can be implemented before winter to decouple the UK wholesale cost of electricity from other sources from the price of gas, reducing the burden on households, businesses and the UK economy.

Impact on UK Households:

This could amount to an average annual additional reduction in household bills of around **£520 from October and £950 from 1 April 2021**. Because these measures are cost neutral this would be in addition to reductions from other measures.

SMEs: The additional burden on industry falling hardest and especially on SMEs, as their prices are uncapped, and they have limited negotiating power. Changing how the market clears benefits homeowners and businesses irrespective of the cap.

Funding Neutral: The measures set out in the analysis, which provides for an additional wholesale cap, would not require any funding from taxpayers or HM Treasury to forgo tax incomes.

Urgent Action: The interim measures set out provide the means to rapidly decouple the UK wholesale cost of electricity from other sources from the price of gas, so crucially provide for substantial additional relief for households and businesses through the winter. Forming a basis for longer term measures that can then be explored by government and regulators on existing timescales.

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NOTES for EDITORS

The authors are available for 1:1 briefings.

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NOTES ON THE UK ELECTRICITY PRICING MECHANISM

How Electricity Pricing Works

The price of energy is not determined in a traditional manner. The electricity market is determined on a marginal clearing market. The most expensive power station sets the price for the rest of the market. For example if three wind farms bid into the market at £10, a nuclear plant at £20 and a gas plant at £3,000, then all power stations get paid £3,000 if gas is dispatched. While effective in normal conditions, encouraging the cheapest and most reliable generators onto the system, it means that in abnormal times, abnormal prices impact the whole market.